

COMMITTEE AMENDMENT

HOUSE OF REPRESENTATIVES

State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB1242 _____
Of the printed Bill
Page _____ Section _____ Lines _____
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Amendment submitted by: TJ Marti

Adopted: _____

Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

PROPOSED OVERSIGHT
COMMITTEE SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 1242

By: Hamilton of the Senate

and

Marti of the House

PROPOSED OVERSIGHT COMMITTEE SUBSTITUTE

An Act relating to medical marijuana; amending 63 O.S. 2021, Section 427.14, as last amended by Section 2, Chapter 494, O.S.L. 2025 and Section 3, Chapter 328, O.S.L. 2022, as last amended by Section 1, Chapter 389, O.S.L. 2025 (63 O.S. Supp. 2025, Sections 427.14 and 427.14b), which relate to the Oklahoma Medical Marijuana and Patient Protection Act; deleting requirement for posting certain bond; requiring certain licensees to submit a land reclamation fee; providing fee amount; providing an exemption; requiring the examination of certain land ownership documents; defining term; directing the Oklahoma Medical Marijuana Authority to provide certain notice to law enforcement agencies; directing applicant to submit certain documentation; deleting third-party vendor requirement to provide certain documents; deleting list of educational training subjects; removing ability to appeal adverse determinations by the Oklahoma Medical Marijuana Authority; deleting civil liability exemption; directing third-party vendors to provide educational training course plan with specific topics; establishing nonrefundable application and renewal fees; directing third-party vendors to update courses and provide notification of update to the Authority; allowing for in-classroom or virtual courses; requiring minimum post-exam score; allowing the

1 Authority to approve certain third-party vendor;
2 creating the Oklahoma Medical Marijuana Land
3 Reclamation Revolving Fund; stating purpose of fund;
4 making appropriations to the fund; providing for
5 expenditures; repealing Section 2, Chapter 41, O.S.L.
6 2023 (63 O.S. Supp. 2025, Section 427.26), which
7 relates to bond requirement for medical marijuana
8 commercial growers; providing for codification; and
9 providing an effective date.

10 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

11 SECTION 1. AMENDATORY 63 O.S. 2021, Section 427.14, as
12 last amended by Section 2, Chapter 494, O.S.L. 2025 (63 O.S. Supp.
13 2025, Section 427.14), is amended to read as follows:

14 Section 427.14. A. There is hereby created the medical
15 marijuana business license, which shall include the following
16 categories:

- 17 1. Medical marijuana commercial grower;
- 18 2. Medical marijuana processor;
- 19 3. Medical marijuana dispensary;
- 20 4. Medical marijuana transporter; and
- 21 5. Medical marijuana testing laboratory.

22 B. The Oklahoma Medical Marijuana Authority, with the aid of
23 the Office of Management and Enterprise Services, shall develop a
24 website for medical marijuana business applications.

1 C. The Authority shall make available on its website, in an
2 easy-to-find location, applications for a medical marijuana
3 business.

4 D. 1. The annual, nonrefundable fee for a medical marijuana
5 transporter license shall be Two Thousand Five Hundred Dollars
6 (\$2,500.00).

7 2. The initial, nonrefundable fee for a medical marijuana
8 commercial grower license shall be calculated based upon the total
9 amount of square feet of canopy or acres the grower estimates will
10 be harvested, transferred, or sold for the year. The annual,
11 nonrefundable license fee shall be based upon the total amount of
12 square feet of canopy or acres harvested, transferred, or sold by
13 the grower during the previous twelve (12) months. The amount of
14 the fees shall be determined as follows:

15 a. For an indoor, greenhouse, or light deprivation
16 medical marijuana grow facility:

17 (1) Tier 1: Up to ten thousand (10,000) square feet
18 of canopy, the fee shall be Two Thousand Five
19 Hundred Dollars (\$2,500.00),

20 (2) Tier 2: Ten thousand one (10,001) square feet of
21 canopy to twenty thousand (20,000) square feet of
22 canopy, the fee shall be Five Thousand Dollars
23 (\$5,000.00),
24

- 1 (3) Tier 3: Twenty thousand one (20,001) square feet
2 of canopy to forty thousand (40,000) square feet
3 of canopy, the fee shall be Ten Thousand Dollars
4 (\$10,000.00),
- 5 (4) Tier 4: Forty thousand one (40,001) square feet
6 of canopy to sixty thousand (60,000) square feet
7 of canopy, the fee shall be Twenty Thousand
8 Dollars (\$20,000.00),
- 9 (5) Tier 5: Sixty thousand one (60,001) square feet
10 of canopy to eighty thousand (80,000) square feet
11 of canopy, the fee shall be Thirty Thousand
12 Dollars (\$30,000.00),
- 13 (6) Tier 6: Eighty thousand one (80,001) square feet
14 of canopy to ninety-nine thousand nine hundred
15 ninety-nine (99,999) square feet of canopy, the
16 fee shall be Forty Thousand Dollars (\$40,000.00),
17 and
- 18 (7) Tier 7: One hundred thousand (100,000) square
19 feet of canopy and beyond, the fee shall be Fifty
20 Thousand Dollars (\$50,000.00), plus an additional
21 twenty-five cents (\$0.25) per square foot of
22 canopy over one hundred thousand (100,000) square
23 feet.

24 b. For an outdoor medical marijuana grow facility:

- (1) Tier 1: Less than two and one-half (2 1/2) acres, the fee shall be Two Thousand Five Hundred Dollars (\$2,500.00),
- (2) Tier 2: More than two and one-half (2 1/2) acres up to five (5) acres, the fee shall be Five Thousand Dollars (\$5,000.00),
- (3) Tier 3: More than five (5) acres up to ten (10) acres, the fee shall be Ten Thousand Dollars (\$10,000.00),
- (4) Tier 4: More than ten (10) acres up to twenty (20) acres, the fee shall be Twenty Thousand Dollars (\$20,000.00),
- (5) Tier 5: More than twenty (20) acres up to thirty (30) acres, the fee shall be Thirty Thousand Dollars (\$30,000.00),
- (6) Tier 6: More than thirty (30) acres up to forty (40) acres, the fee shall be Forty Thousand Dollars (\$40,000.00),
- (7) Tier 7: More than forty (40) acres up to fifty (50) acres, the fee shall be Fifty Thousand Dollars (\$50,000.00), and
- (8) Tier 8: If the amount of acreage exceeds fifty (50) acres, the fee shall be Fifty Thousand

Dollars (\$50,000.00) plus an additional Two
Hundred Fifty Dollars (\$250.00) per acre.

c. For a medical marijuana commercial grower that has a
combination of both indoor and outdoor growing
facilities at one location, the medical marijuana
commercial grower shall be required to obtain a
separate license from the Authority for each type of
grow operation and shall be subject to the licensing
fees provided for in subparagraphs a and b of this
paragraph.

d. As used in this paragraph:

(1) "canopy" means the total surface area within a
cultivation area that is dedicated to the
cultivation of flowering marijuana plants. The
surface area of the plant canopy must be
calculated in square feet and measured and must
include all of the area within the boundaries
where the cultivation of the flowering marijuana
plants occurs. If the surface of the plant
canopy consists of noncontiguous areas, each
component area must be separated by identifiable
boundaries. If a tiered or shelving system is
used in the cultivation area, the surface area of
each tier or shelf must be included in

calculating the area of the plant canopy.
Calculation of the area of the plant canopy may not include the areas within the cultivation area that are used to cultivate immature marijuana plants and seedlings, prior to flowering, and that are not used at any time to cultivate mature marijuana plants. If the flowering plants are vertically grown in cylinders, the square footage of the canopy shall be measured by the circumference of the cylinder multiplied by the total length of the cylinder,

(2) "greenhouse" means a structure located outdoors that is completely covered by a material that allows a controlled level of light transmission, and

(3) "light deprivation" means a structure that has concrete floors and the ability to manipulate natural light.

3. The initial, nonrefundable fee for a medical marijuana processor license shall be Two Thousand Five Hundred Dollars (\$2,500.00). The annual, nonrefundable license fee for a medical marijuana processor license shall be determined based on the previous twelve (12) months as follows:

- 1 a. Tier 1: The transfer or sale of zero (0) to ten
2 thousand (10,000) pounds of biomass or the production,
3 transfer, or sale of up to one hundred (100) liters of
4 cannabis concentrate, whichever is greater, the annual
5 fee shall be Two Thousand Five Hundred Dollars
6 (\$2,500.00),
- 7 b. Tier 2: The transfer or sale of ten thousand one
8 (10,001) pounds to fifty thousand (50,000) pounds of
9 biomass or the production, transfer, or sale of one
10 hundred one (101) to three hundred fifty (350) liters
11 of cannabis concentrate, whichever is greater, the
12 annual fee shall be Five Thousand Dollars (\$5,000.00),
- 13 c. Tier 3: The transfer or sale of fifty thousand one
14 (50,001) pounds to one hundred fifty thousand
15 (150,000) pounds of biomass or the production,
16 transfer, or sale of three hundred fifty-one (351) to
17 six hundred fifty (650) liters of cannabis
18 concentrate, whichever is greater, the annual fee
19 shall be Ten Thousand Dollars (\$10,000.00),
- 20 d. Tier 4: The transfer or sale of one hundred fifty
21 thousand one (150,001) pounds to three hundred
22 thousand (300,000) pounds of biomass or the
23 production, transfer, or sale of six hundred fifty-one
24 (651) to one thousand (1,000) liters of cannabis

concentrate, whichever is greater, the annual fee shall be Fifteen Thousand Dollars (\$15,000.00), and

e. Tier 5: The transfer or sale of more than three hundred thousand one (300,001) pounds of biomass or the production, transfer, or sale in excess of one thousand one (1,001) liters of cannabis concentrate, the annual fee shall be Twenty Thousand Dollars (\$20,000.00).

For purposes of this paragraph only, if the cannabis concentrate is in nonliquid form, every one thousand (1,000) grams of concentrated marijuana shall be calculated as one (1) liter of cannabis concentrate.

4. The initial, nonrefundable fee for a medical marijuana dispensary license shall be Two Thousand Five Hundred Dollars (\$2,500.00). The annual, nonrefundable license fee for a medical marijuana dispensary license shall be calculated at ten percent (10%) of the sum of twelve (12) calendar months of the combined annual state sales tax and state excise tax of the dispensary during the previous twelve (12) months. The minimum fee shall be not less than Two Thousand Five Hundred Dollars (\$2,500.00) and the maximum fee shall not exceed Ten Thousand Dollars (\$10,000.00).

5. The annual, nonrefundable license fee for a medical marijuana testing laboratory shall be Twenty Thousand Dollars (\$20,000.00).

1 E. All applicants seeking licensure or licensure renewal as a
2 medical marijuana business shall comply with the following general
3 requirements:

4 1. All applications for licenses and registrations authorized
5 pursuant to this section shall be made upon forms prescribed by the
6 Authority;

7 2. Each application shall identify the city or county in which
8 the applicant seeks to obtain licensure as a medical marijuana
9 business;

10 3. Applicants shall submit a complete application to the
11 Authority before the application may be accepted or considered;

12 4. All applications shall be complete and accurate in every
13 detail;

14 5. All applications shall include all attachments or
15 supplemental information required by the forms supplied by the
16 Authority;

17 6. All applications for a transporter license, initial
18 dispensary license, initial processor license, or laboratory license
19 shall be accompanied by a full remittance for the whole amount of
20 the license fee as set forth in subsection D of this section. All
21 submissions of grower applications, renewal processor applications,
22 and renewal dispensary applications shall be accompanied by a
23 remittance of a fee of Two Thousand Five Hundred Dollars
24 (\$2,500.00). The Authority shall invoice license applicants, if

1 applicable, and notify applicants in the same method and manner as
2 the application was submitted to the Authority for any additional
3 licensing fees owed pursuant to subsection D of this section prior
4 to approval of a license application. Applicants and licensees
5 shall remit all required license and application fees, including any
6 additional licensing fees, if applicable, in full within forty-five
7 (45) days of notification by the Authority. Failure to remit such
8 fees shall result in the denial of the application. License fees
9 are nonrefundable;

10 7. All applicants shall be approved for licensing review that,
11 at a minimum, meet the following criteria:

- 12 a. twenty-five (25) years of age or older,
- 13 b. if applying as an individual, proof that the applicant
14 is a resident of this state pursuant to paragraph 12
15 of this subsection,
- 16 c. if applying as an entity, proof that seventy-five
17 percent (75%) of all members, managers, executive
18 officers, partners, board members or any other form of
19 business ownership are residents of this state
20 pursuant to paragraph 12 of this subsection,
- 21 d. if applying as an individual or entity, proof that the
22 individual or entity is registered to conduct business
23 in this state,

- e. disclosure of all ownership interests pursuant to the Oklahoma Medical Marijuana and Patient Protection Act, and
- f. proof that the medical marijuana business, medical marijuana research facility, medical marijuana education facility and medical marijuana waste disposal facility applicant or licensee has not been convicted of a nonviolent felony in the last two (2) years, or any other felony conviction within the last five (5) years, is not a current inmate in the custody of the Department of Corrections, or currently incarcerated in a jail or corrections facility.

Upon reasonable suspicion that a medical marijuana business licensee is illegally growing, processing, transferring, selling, disposing, or diverting marijuana, the Authority, the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control, the Oklahoma State Bureau of Investigation (OSBI), or the Attorney General may subpoena documents necessary to establish the personal identifying information of all owners and individuals with any ownership interest in the business;

8. There shall be no limit to the number of medical marijuana business licenses or categories that an individual or entity can apply for or receive, although each application and each category shall require a separate application, application fee, or license fee. A commercial grower, processor and dispensary, or any

1 combination thereof, are authorized to share the same address or
2 physical location, subject to the restrictions set forth in the
3 Oklahoma Medical Marijuana and Patient Protection Act;

4 9. No medical marijuana business premises is permitted to have
5 multiple licenses of the same type pursuant to the licensing
6 requirements of this section, excluding the following:

- 7 a. a commercial grower with a combination of an indoor or
8 outdoor growing facility on one parcel of land,
- 9 b. a licensed medical marijuana processor used by
10 multiple licensees, and
- 11 c. a licensed medical marijuana business that has an
12 approved application by the Authority while the new
13 business seeks registration from the Oklahoma State
14 Bureau of Narcotics and Dangerous Drugs Control
15 pursuant to Section 427.14c of this title;

16 10. All applicants for a medical marijuana business license,
17 research facility license or education facility license authorized
18 by the Oklahoma Medical Marijuana and Patient Protection Act, or for
19 a renewal of such license, shall undergo a national fingerprint-
20 based background check conducted by the Oklahoma State Bureau of
21 Investigation within thirty (30) days prior to the application for
22 the license, including:

- 23 a. individual applicants applying on their own behalf,
- 24 b. individuals applying on behalf of an entity,

- c. all principal officers of an entity, and
- d. all owners of an entity as defined by the Oklahoma Medical Marijuana and Patient Protection Act;

11. All applicable fees charged by the OSBI are the responsibility of the applicant and shall not be higher than fees charged to any other person or industry for such background checks;

12. In order to be considered a resident of this state for purposes of a medical marijuana business application, all applicants shall provide proof of state residency for at least two (2) years immediately preceding the date of application or five (5) years of continuous state residency during the preceding twenty-five (25) years immediately preceding the date of application. Sufficient documentation of proof of residency shall include a combination of the following:

- a. an unexpired state-issued driver license,
- b. a state-issued identification card,
- c. a utility bill preceding the date of application, excluding cellular telephone and Internet bills,
- d. a residential property deed to property in this state, and
- e. a rental agreement preceding the date of application for residential property located in this state.

1 Applicants that were issued a medical marijuana business license
2 prior to August 30, 2019, are hereby exempt from the two-year or
3 five-year Oklahoma residence requirement mentioned above;

4 13. All license applicants shall be required to submit a
5 registration with the Oklahoma State Bureau of Narcotics and
6 Dangerous Drugs Control as provided in Sections 2-301 through 2-309
7 of this title;

8 14. All applicants shall establish their identity through
9 submission of a color copy or digital image of one of the following
10 unexpired documents:

- 11 a. front of a state-issued driver license,
- 12 b. front of a state-issued identification card,
- 13 c. a United States passport or other photo identification
14 issued by the United States government, or
- 15 d. a tribal identification card approved for
16 identification purposes by the Department of Public
17 Safety;

18 15. All applicants shall submit an applicant photograph; and

19 16. All applicants for a medical marijuana business license
20 seeking to operate a commercial growing operation shall ~~file~~ submit,
21 along with their application, a bond as prescribed in Section 427.26
22 of this title land reclamation fee in the amount of Two Thousand
23 Dollars (\$2,000.00). Submission and payment of the land reclamation
24 fee by the applicant shall not be required if, upon verification by

1 the Authority, the land upon which the applicant intends to conduct
2 commercial growing operations has been owned by the applicant or a
3 first degree relative of the applicant for a minimum of five (5)
4 years prior to submission of said application. The Authority shall
5 verify that the person submitting the application is the same
6 identical person or a first degree relative of the person who is the
7 owner of the land. Land ownership shall be verified by examining
8 recorded property deeds, property tax records, title insurance, or
9 mortgage statements. As used in this paragraph, "first degree
10 relative" includes a mother, father, spouse, son, or daughter.

11 F. The Authority shall review the medical marijuana business
12 application; approve, reject, or deny the application; and send the
13 approval, rejection, denial, or status-update letter to the
14 applicant in the same method the application was submitted to the
15 Authority within ninety (90) business days of receipt of the
16 application.

17 G. 1. The Authority shall review the medical marijuana
18 business applications, conduct all investigations, inspections, and
19 interviews, and collect all license and application fees before
20 approving the application.

21 2. Approved applicants shall be issued a medical marijuana
22 business license for the specific category applied under, which
23 shall act as proof of their approved status. Rejection and denial
24 letters shall provide a reason for the rejection or denial.

1 Applications may only be rejected or denied based on the applicant
2 not meeting the standards set forth in the provisions of the
3 Oklahoma Medical Marijuana and Patient Protection Act and Sections
4 420 through 427.28 of this title, improper completion of the
5 application, unpaid license or application fees, or for a reason
6 provided for in the Oklahoma Medical Marijuana and Patient
7 Protection Act and Sections 420 through 427.28 of this title. If an
8 application is rejected for failure to provide required information,
9 the applicant shall have thirty (30) days to submit the required
10 information for reconsideration. Unless the Authority determines
11 otherwise, an application that has been resubmitted but is still
12 incomplete or contains errors that are not clerical or typographical
13 in nature shall be denied.

14 3. Status-update letters shall provide a reason for delay in
15 either approval, rejection or denial should a situation arise in
16 which an application was submitted properly but a delay in
17 processing the application occurred.

18 4. Approval, rejection, denial or status-update letters shall
19 be sent to the applicant in the same method the application was
20 submitted to the Authority.

21 H. A license for a medical marijuana business, medical
22 marijuana research facility, medical marijuana education facility or
23 medical marijuana waste disposal facility shall not be issued to or
24 held by:

1 1. A person until all required fees have been paid;

2 2. A person who has been convicted of a nonviolent felony
3 within two (2) years of the date of application, or within five (5)
4 years for any other felony;

5 3. A corporation, if the criminal history of any of its
6 officers, directors or stockholders indicates that the officer,
7 director or stockholder has been convicted of a nonviolent felony
8 within two (2) years of the date of application, or within five (5)
9 years for any other felony;

10 4. A person under twenty-five (25) years of age;

11 5. A person licensed pursuant to this section who, during a
12 period of licensure, or who, at the time of application, has failed
13 to:

14 a. file taxes, interest or penalties due related to a
15 medical marijuana business, or

16 b. pay taxes, interest or penalties due related to a
17 medical marijuana business;

18 6. A sheriff, deputy sheriff, police officer or prosecuting
19 officer, or an officer or employee of the Authority or municipality;

20 7. A person whose authority to be a caregiver, as defined in
21 Section 427.2 of this title, has been revoked by the Authority; or

22 8. A person who was involved in the management or operations of
23 any medical marijuana business, medical marijuana research facility,
24 medical marijuana education facility or medical marijuana waste

1 disposal facility that, after the initiation of a disciplinary
2 action, has had a medical marijuana license revoked, not renewed, or
3 surrendered during the five (5) years preceding submission of the
4 application and for the following violations:

- 5 a. unlawful sales or purchases,
- 6 b. any fraudulent acts, falsification of records or
7 misrepresentation to the Authority, medical marijuana
8 patient licensees, caregiver licensees or medical
9 marijuana business licensees,
- 10 c. any grossly inaccurate or fraudulent reporting,
- 11 d. threatening or harming any medical marijuana patient,
12 caregiver, medical practitioner or employee of the
13 Authority,
- 14 e. knowingly or intentionally refusing to permit the
15 Authority access to premises or records,
- 16 f. using a prohibited, hazardous substance for processing
17 in a residential area,
- 18 g. criminal acts relating to the operation of a medical
19 marijuana business, or
- 20 h. any violations that endanger public health and safety
21 or product safety.

22 I. In investigating the qualifications of an applicant or a
23 licensee, the Authority and municipalities may have access to
24

1 criminal history record information furnished by a criminal justice
2 agency subject to any restrictions imposed by such an agency.

3 J. The failure of an applicant or licensee to provide the
4 requested information by the Authority deadline may be grounds for
5 denial of the application.

6 K. All applicants and licensees shall submit information to the
7 Authority in a full, faithful, truthful and fair manner. The
8 Authority may recommend denial of an application where the applicant
9 or licensee made misstatements, omissions, misrepresentations or
10 untruths in the application or in connection with the background
11 investigation of the applicant. This type of conduct may be grounds
12 for administrative action against the applicant or licensee. Typos
13 and scrivener errors shall not be grounds for denial.

14 L. A licensed medical marijuana business premises shall be
15 subject to and responsible for compliance with applicable provisions
16 consistent with the zoning where such business is located as
17 described in the most recent versions of the Oklahoma Uniform
18 Building Code, the International Building Code and the International
19 Fire Code, unless granted an exemption by a municipality or
20 appropriate code enforcement entity.

21 M. All medical marijuana business, medical marijuana research
22 facility, medical marijuana education facility and medical marijuana
23 waste disposal facility licensees shall pay the relevant licensure
24 fees prior to receiving licensure to operate. Applicants and

1 licensees shall remit all required license and application fees,
2 including any additional licensing fees, if applicable, in full
3 within forty-five (45) days of notification by the Authority.
4 Failure to remit such fees shall result in the denial of the
5 application.

6 N. A medical marijuana business, medical marijuana research
7 facility, medical marijuana education facility or medical marijuana
8 waste disposal facility that attempts to renew its license after the
9 expiration date of the license shall pay a late renewal fee of Five
10 Hundred Dollars (\$500.00) per week that the license is expired.
11 Late renewal fees are nonrefundable. A license that has been
12 expired for more than sixty (60) calendar days shall not be renewed.
13 Only license renewal applications submitted at least sixty (60)
14 calendar days prior to the expiration date shall be considered
15 timely submitted and subject to the provisions of subsection F of
16 this section. A medical marijuana business license shall remain
17 unexpired during the pendency of the application for renewal
18 provided that such application was timely submitted. The Authority
19 shall allow renewal applications to be submitted at least one
20 hundred twenty (120) calendar days prior to the expiration date of a
21 medical marijuana business license.

22 O. 1. Except as provided by this section, immediately upon
23 expiration of a license, any medical marijuana business, medical
24 marijuana research facility, medical marijuana education facility,

1 or medical marijuana waste disposal facility shall cease all
2 possession, transfer, or sale of medical marijuana or medical
3 marijuana products. Any continued possession, sale, or transfer
4 shall subject the business owners and operators to felony
5 prosecution pursuant to the Uniform Controlled Dangerous Substances
6 Act.

7 2. Upon the expiration or revocation of a medical marijuana
8 business license or a determination that the business license is no
9 longer in good standing, the Authority shall provide notice to all
10 law enforcement agencies in the jurisdiction of the medical
11 marijuana business that the business license has expired, been
12 revoked, or is no longer in good standing.

13 P. A medical marijuana business license holder shall require
14 all individuals employed under his or her license to be issued a
15 credential pursuant to the provisions of Section 427.14b of this
16 title prior to employment.

17 Q. An original medical marijuana business license issued on or
18 after June 26, 2018, by the Authority, for a medical marijuana
19 commercial grower, a medical marijuana processor or a medical
20 marijuana dispensary shall be deemed to have been grandfathered into
21 the location on the date the original license was first issued for
22 purposes of determining the authority of the business to conduct and
23 continue the same type of business at that location under a license
24 issued by the Authority, except as may be provided in Sections 425

1 and 426.1 of this title. Any change in ownership after the original
2 medical marijuana business license has been issued by the Authority
3 shall be construed by the Authority to be a continuation of the same
4 type of business originally licensed at that location. Nothing
5 shall authorize the Authority to deny issuance or renewal of a
6 license or transfer of license due to a change in ownership for the
7 same business location previously licensed, except when a revocation
8 is otherwise authorized by law or a protest is made under the
9 municipal compliance provisions of Section 426.1 of this title.

10 R. A medical marijuana business license holder shall require
11 all individuals employed under their license to be issued a
12 credential pursuant to the provisions of Section 427.14b of this
13 title prior to employment.

14 S. The Executive Director of the Authority may promulgate rules
15 to implement the provisions of this section including, but not
16 limited to, required application materials to be submitted by the
17 applicant and utilized by the Authority to determine medical
18 marijuana business licensing fees pursuant to this section.

19 SECTION 2. AMENDATORY Section 3, Chapter 328, O.S.L.
20 2022, as last amended by Section 1, Chapter 389, O.S.L. 2025 (63
21 O.S. Supp. 2025, Section 427.14b), is amended to read as follows:

22 Section 427.14b. A. Beginning January 1, 2024, the Oklahoma
23 Medical Marijuana Authority shall require employees of a medical
24 marijuana business licensee to apply for and receive a credential

1 authorizing the employee to work in a licensed medical marijuana
2 business.

3 B. The Authority may contract with one or more third-party
4 vendors to provide the credentialing services necessary to carry out
5 the provisions of this section.

6 C. The Authority shall determine the services to be provided by
7 such third-party vendor and shall establish costs and prices. If
8 contracted for credentialing services, a third-party vendor shall on
9 behalf of the Authority conduct the background checks and verify
10 eligibility for any employees of a medical marijuana business
11 license holder to obtain a credential.

12 D. Upon successful completion of the national fingerprint-based
13 background check conducted by the Oklahoma State Bureau of
14 Investigation within thirty (30) days prior to the application,
15 completion of the educational training required pursuant to the
16 provisions of this section, and verification of eligibility for an
17 employee, the Authority shall issue a credential to the employee.
18 The applicant shall submit proof of completion of the required
19 educational training and results of the background check and
20 verification in the credential application, ~~and the results of~~
21 ~~background checks and verifications shall be provided to the~~
22 ~~Authority by the third-party vendor.~~

23 E. Beginning January 1, 2027, in order to receive an employee
24 credential, all employees of a licensed medical marijuana business

1 shall annually complete an educational training course provided by
2 or approved by the Authority. The employee shall submit proof of
3 completion of the required educational training in order to receive
4 an employee credential. ~~Such training may include an overview of~~
5 ~~state statutes and administrative rules, patient privacy~~
6 ~~requirements, and the safe handling and storage of medical~~
7 ~~marijuana.~~

8 F. ~~If the third-party vendor determines that an employee of a~~
9 ~~medical marijuana business holder does not meet the minimum~~
10 ~~statutory requirements for a credential, the applicant or employee~~
11 ~~shall have no recourse against the third-party vendor but may appeal~~
12 ~~such adverse determination to the Authority.~~

13 G. ~~The~~ To be approved by the Authority, the third-party vendor
14 ~~shall not be civilly liable to an applicant, licensee, or employee~~
15 ~~of a licensee for any acts taken in good-faith compliance with the~~
16 ~~provisions of Section 420 et seq. of this title and the Oklahoma~~
17 ~~Medical Marijuana and Patient Protection Act and the rules~~
18 ~~promulgated by the Oklahoma Medical Marijuana Authority.~~ provide an
19 educational training course plan that includes, but is not limited
20 to, an overview of the following topics:

21 1. State statutes and administrative rules;

22 2. Patient privacy requirements;

23 3. Safe, sanitary handling and storage of medical marijuana;

1 4. Guidance and training on how to appropriately advise
2 patients on the use of medical marijuana products; and

3 5. Detecting, preventing, and reporting the diversion of
4 medical marijuana to minors, unlicensed medical marijuana patients
5 or unlicensed medical marijuana caregivers, or other unauthorized
6 persons.

7 G. A nonrefundable application fee of Five Hundred Dollars
8 (\$500.00) shall be submitted with the educational training
9 application of the third-party vendor and a nonrefundable
10 application fee of Two Hundred Fifty Dollars (\$250.00) shall be
11 required every twenty-four (24) months for renewal of said
12 application. A third-party vendor shall update the course with any
13 applicable changes to the Oklahoma Statutes or administrative rules
14 not later than ten (10) days after the effective date of the change.
15 The third-party vendor shall notify the Authority of a change to an
16 approved course not later than three (3) days after the change. The
17 educational training course may be taught in a classroom or virtual
18 setting and an employee of a licensed medical marijuana business
19 shall be required to score a seventy percent (70%) or higher on a
20 post-course exam demonstrating an understanding of the course
21 materials.

22 H. 1. The Authority shall review the medical marijuana
23 credential application; approve, reject, or deny the application;
24 and send the approval, rejection, or denial letter to the applicant

1 by the same method in which the application was submitted to the
2 Authority.

3 2. Each approved applicant shall be issued a credential, which
4 shall act as proof of his or her approved status, to be worn or
5 displayed during the hours of work of the employee. Rejection and
6 denial letters shall provide a reason for the rejection or denial.
7 Applications may only be rejected or denied for failure to meet the
8 standards set forth in the provisions of the Oklahoma Medical
9 Marijuana and Patient Protection Act or rules promulgated by the
10 Executive Director of the Authority. If an application is rejected
11 for failure to provide required information, the applicant shall
12 have thirty (30) days to submit the required information for
13 reconsideration. Unless the Authority determines otherwise, an
14 application that has been resubmitted but is still incomplete or
15 contains errors that are not clerical or typographical in nature
16 shall be denied.

17 I. The Authority may approve any third-party vendor meeting the
18 requirements of subsection F of this section to provide the
19 educational training course necessary to carry out the provisions of
20 subsection E of this section. The Authority shall have sixty (60)
21 days to approve or deny an application of a vendor to provide the
22 educational training course.

23 J. The Executive Director of the Authority may promulgate rules
24 to implement the provisions of this section.

1 SECTION 3. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 427.5b of Title 63, unless there
3 is created a duplication in numbering, reads as follows:

4 There is hereby created in the State Treasury a revolving fund
5 for the Oklahoma Medical Marijuana Authority to be designated the
6 "Oklahoma Medical Marijuana Land Reclamation Revolving Fund". The
7 fund shall be a continuing fund, not subject to fiscal year
8 limitations, and shall consist of all monies received by the
9 Authority from land reclamation fees collected pursuant to the
10 Oklahoma Medical Marijuana and Patient Protection Act. All monies
11 accruing to the credit of the fund are hereby appropriated and may
12 be budgeted and expended by the Oklahoma Medical Marijuana Authority
13 for the purposes provided for in this section. Expenditures from
14 the fund shall be made upon warrants issued by the State Treasurer
15 against claims filed as prescribed by law with the Director of the
16 Office of Management and Enterprise Services for approval and
17 payment. Up to Five Million Dollars (\$5,000,000.00) of the funds
18 received by and credited to the fund may be used and expended by the
19 Oklahoma Medical Marijuana Authority for environmental remediation
20 and redevelopment projects. Any remaining funds shall be deposited
21 in the General Revenue Fund of the State Treasury.

22 SECTION 4. REPEALER Section 2, Chapter 41, O.S.L. 2023
23 (63 O.S. Supp. 2025, Section 427.26), is hereby repealed.

SECTION 5. This act shall become effective November 1, 2026.

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